Uniform Agricultural Appraisal Report

Property Identification

Owner/Occupant: ***REDACTED***
Property Address: ***REDACTED***
State/County: MT / Powder River
Property Location: ***REDACTED***
Highest & Best Use: Agriculture "As If" Vacant
Agriculture "As Improved"
Zoning: Agriculture
Unit Type: [X] Economic Sized Unit [ ] Supplemental/Add-On Unit
FEMA Community # N/A FEMA Map # FEMA Zone/Date: NA
Legal Description: See attached SEC *** TWP ***S RNG ***E Attached [X]
Purpose of Report: Estate Planning
Use/Intended User(s): Owner, Attorney and Accountants
Rights Appraised: Fee Simple
Value Definition: Attached [X]
Assignment: Engagement Letter dated 01-14-15 Report Type: Appraisal Report (Standards Rule 2-2)
Extent of Process/Scope of Work: See Scope of Work Page.

Total Deeded Acres: 10,777.89
Effective Unit Size: 10,778.00
Zip Code: 59317
Property Code #:
FAMC Comd'ity Gp:
Primary Land Type: Grazing
Primary Commodity: Livestock

Appraisal Report Summary

Summary of Facts and Conclusions

Date of Inspection: 01/22/15 Effective Date of Appraisal: 01/22/15

Value Indication	- Cost Approach:	$ 5,152,000
	- Income Approach:	$ 5,132,000
	- Sales Comparison Approach:	$ 5,227,000
Opinion of Value:	*(Estimated Marketing Time* 12 *months)*	$ 5,200,000

Cost of Repairs: $ Cost of Additions: $

Allocation:

Land:	$ 4,686,234	$ 435 / Acre	(90	%)
Land Improvements:	$	$ / Acre	(0	%)
Structural Improvement Contribution:	$ 513,766	$ 48 /	(10	%)
Non-Realty Items:	$	$ 0 /	(0	%)
Leased Fee Value *(Remaining term of encumbrance)*	$	$ /	(0	%)
Leasehold Value:	$	$ /	(0	%)
Overall Value:		$ 482 / Acre	(100	%)

Income and Other Data Summary: [X] Cash Rent [ ] Share [ ] Owner/Operator [ ] FAMC Suppl. Attached

Income Multiplier	( )	Income Estimate:	$ 7.75 / (unit)
Expense Ratio	27.52 %	Expense Estimate:	$ 2.13 / (unit)
Overall Cap Rate:	1.18 %	Net Property Income:	$ 5.62 / (unit)

Area-Regional-Market Area Data and Trends:

	Above Avg.	Avg.	Below Avg.	N/A
Value Trend		X		
Sales Activity Trend		X		
Property Compatibility		X		
Effective Purchase Power		X		
Demand		X		
Development Potential		X		
Desirability		X		

Subject Property Rating:

	Above Avg.	Avg.	Below Avg.	N/A
Location		X		
Soil Quality/Productivity		X		
Improvement Rating	X			
Compatibility		X		
Rentability	X			
Market Appeal	X			
Overall Property Rating		X		

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Sales Comparison Approach (1-5)

Sale Data

Sale Data	Subject	Sale #1 D155	Sale #2 D39	Sale #3 D659	Sale #4 D78	Sale #5 D558
Grantor (Seller)		***REDACTED***	***REDACTED***	***REDACTED***	***REDACTED***	***REDACTED***
Grantee (Buyer)		***REDACTED***	***REDACTED***	***REDACTED***	***REDACTED***	***REDACTED***
Source		Broker	Broker/Appraiser	Broker	Appraiser	Broker/Appraiser
Date	Eff 01/15	10/14	03/14	02/14	12/13	08/13
Eff Unit Size/Unit	10,778 / Acres	9,781	2,573	2,738	9,162	4,305
Sale Price		4,050,000	1,175,000	1,300,000	4,300,000	2,100,000
Finance Adjusted		Cash 0	Cash	Cash	Cash	Cash
CEV Price		4,050,000	1,175,000	1,300,000	4,300,000	2,100,000
Multiplier						
Expense Ratio		17.80	22.04	20.83	19.01	16.58

Sale Comparison

The Appraiser has cited sales of similar property to the subject and considered these in the market analysis. The description below includes a dollar adjustment reflecting market reaction to those items of significant variation between the subject and the sales documented. When significant items are superior to the property appraised, a negative adjustment is applied. If the item is inferior, a positive adjustment is applied. Thus, each sale is adjusted for the measurable dissimilarities and each sale producing a separate value indication. The indications from each sale are then reconciled into one indication of value for this approach.

CEV Price/ Acres		414.07	456.61	474.78	469.33	487.76
LAND AND IMPROVEMENT ADJUSTMENTS						
Land Adjustment		20.80	20.65	-12.02	-5.65	1.72
Impvt. Adjustment		33.60	-8.60	12.58	37.73	11.85
Adjusted Price		468.47	468.66	475.34	501.41	501.33
TIME ADJUSTMENTS						
[X] Yr [ ] Mo	Periods	0.25	0.84	0.92	1.08	1.42
[ ] Smpl [X] Cmp	Rate	3.00	3.00	3.00	3.00	3.00
[X] Auto [ ] Man	Time Adjustment	3.47	11.78	13.10	16.27	21.49
	Time Adj. Price	471.94	480.44	488.44	517.68	522.82
OTHER ADJUSTMENTS						
	Adjustment					
	Adjustment					
	Adjustment					
	Adjustment					
	Adjustment					
Net Adjustments		58	24	14	48	35
ADJUSTED PRICE		472	481	489	517	523

Analysis/Comments: *(Discuss positive and negative aspects of each sale as they affect value)*

As mentioned in the Valuation Process, the Sales Comparison Approach to value as used in this report examines the sales of similar-type properties which are then analyzed and compared to subject for an indicated value. No sale in the immediate area was exactly comparable to the property being appraised, yet adequate sales data was available for a comparable relationship. Overall features of the subject property lend themselves to average to above average salablility and/or rent ability. The sales have been adjusted for land mix, improvements and time.

(continued)

Sales Comparison Approach Summary:

Property Basis (Value Range): $ 304.00 to $ 448.00

Unit Basis: $ 485.00 / Acre X 10,778 Acres = $ 5,227,330.00

Multiplier Basis: $ X (multiple) = $

Sales Comparison Indication:

$ 5,227,000

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Sales Comparison Approach (6-10)

Sale Data / Sale Comparison

Sale Data	Subject	Sale #6 D472	Sale #7 D319	Sale #8 D113	Sale #9 D475	Sale #10 D62
Grantor (Seller)		***REDACTED***	***REDACTED***	***REDACTED***	***REDACTED***	***REDACTED***
Grantee (Buyer)		***REDACTED***	***REDACTED***	***REDACTED***	***REDACTED***	***REDACTED***
Source		Appraiser	Appraiser	Appraiser	Appraiser	Appraiser
Date	Eff. 01/15	04/13	08/12	06/12	02/11	11/11
Eff. Unit Size/Units	10,778 / Acres	6,002	10,733	10,312	8,472	4,268
Sale Price		2,900,000	4,450,000	5,155,795	5,300,000	1,664,668
Finance Adjusted		Cash	Cash 0	Cash 0	Cash 0	Cash
CEV Price		2,900,000	4,450,000	5,155,795	5,300,000	1,664,668
Multiplier						
Expense Ratio		29.62	19.10	27.86	16.45	20.37

The Appraiser has cited sales of similar property to the subject and considered these in the market analysis. The description below includes a dollar adjustment reflecting market reaction to those items of significant variation between the subject and the sales documented. When significant items are superior to the property appraised, a negative adjustment is applied. If the item is inferior, a positive adjustment is applied. Thus, each sale is adjusted for the measurable dissimilarities and each sale producing a separate value indication. The indications from each sale are then reconciled into one indication of value for this approach.

CEV Price/ Acres		483.21	414.61	500.00	625.59	389.99
LAND AND IMPROVEMENT ADJUSTMENTS						
Land Adjustment		-23.76	4.23	-28.41	-160.05	3.27
Impvt. Adjustment		9.71	32.76	23.32	2.06	47.59
Adjusted Price		469.16	451.60	494.91	467.60	440.85
TIME ADJUSTMENTS						
[X] Yr. [ ] Mo.	Periods	1.75	2.42	2.59	3.92	3.17
[ ] Smpl [X] Cmp.	Rate	3.00	3.00	3.00	3.00	3.00
[X] Auto. [ ] Man.	Time Adjustment	24.91	33.49	39.38	57.44	43.31
	Time Adj. Price	494.07	485.09	534.29	525.04	484.16
OTHER ADJUSTMENTS						
	Adjustment					
	Adjustment					
	Adjustment					
	Adjustment					
	Adjustment					
Net Adjustments		11	70	34	-101	94
ADJUSTED PRICE		494	485	534	525	484

Analysis/Comments: *(Discuss positive and negative aspects of each sale as they affect value)*

A total of ten sales were evaluated for comparison to the subject. Each sale has components for comparison to the subject. The sales are considered to have similar location, land classification, topography and/or production as the subject. Sales #1, #2, and #3 occurred less than 12 months ago. Sales #4, #5, and #6 occurred less than two years ago. Sales #7, #8, #9 and #10 are older but representative of similar sized ranches in the subject area. It is reported by local brokers that the appreciation in this area has averaged about 3% annually over the last four years. The appreciation rate of 3% utilized in this report has been calculated according to the month of sale through the effective month of this report. All of the sales are considered to be similar ranch properties as the subject.

The sales are all located within a 75 mile radius of the subject property. The properties are situated in Powder River County (6 sales), Rosebud County (2 sales), Custer County (1 sale) and Big Horn County (1 sale). Five of the sales are located to the north; one sale is to the west; one sale is to the south, and three sales are located to the east. Please refer to the Comparable Sales Map. (continued)

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Income Approach

Gross Income Estimate

Basis of Income Estimate: Cash [X] Share [ ] Owner/Operator [ ] FAMC [ ] See Attached

Income Source	Units	Unit Measure	Stabilized Yield	Total Production: Stabilized $/Unit	Total Production: Gross Income	Cash/Share/Owner's Income: Share %	Cash/Share/Owner's Income: Income
Hayland	880.00	Acre		$ 20.00	$ 17,600	100	$ 17,600
Pasture	9,887.89	Acre		$ 6.00	$ 59,327	100	$ 59,327
Site	10.00	Acre		$ 20.00	$ 200	100	$ 200
Public Lease	402.00	AUMs		$ 16.00	$ 6,432	100	$ 6,432
				$	$		$
				$	$		$
				$	$		$
[X] **Improvements Included in Land Rent**			Rent: $	/mo.,	$ /yr.		$

Stabilized Gross Income = $ 83,559

Comments: *(Typical area rental terms and conditions)* Agricultural properties can be leased on a shared basis or cash rent bases with variances depending upon the terms. Straight cash rental lease rates have been utilized herein. The cash rental rates for the various land classification have been estimated based upon market derived research and conversations with local operators. We believe these rates are reasonable and are typical for the area. The subject ranch has a good balance of hayland and pasture land. It is estimated that about 8% of the ranch's total carrying capacity comes from leased lands. Taxes are based upon Powder River County's 2014 tax year records. Management is estimated at 6% of gross income.

Expenses

Expense Items:		Additional Expenses:		Additional Expenses:		Additional Expenses:	
Real Estate Tax	$ 8,744		$		$		$
Insurance	$ 1,496		$		$		$
Maintenance	$ 7,200		$		$		$
Management	$ 5,013		$		$		$
Public Lease	$ 543		$				
	$		$				
	$		$				

Total Expenses = $ 22,996 (27.52 %)

Cap Rate Info

Sale	Date	Size	Impvt %	Gross Income	Exp. Ratio	Net Income	CEV Price	Cap Rate
D155	10/14	9,781	3	53,790	17.80 %	44,214	4,050,000	1.09 %
D39	03/14	2,573	14	15,408	22.04 %	12,012	1,175,000	1.02 %
D659	02/14	2,738	7	19,487	20.83 %	15,427	1,300,000	1.19 %
D78	12/13	9,162	2	85,820	19.01 %	69,503	4,300,000	1.62 %
D558	08/13	4,305	7	29,144	16.58 %	24,311	2,100,000	1.16 %
D472	04/13	6,002	8	54,721	29.62 %	38,511	2,900,000	1.33 %
D319	08/12	10,733	4	69,442	19.10 %	56,179	4,450,000	1.26 %

Analysis/Comments: Seven sales were analyzed for the value based on the Income Approach. These sales indicate a market derived cap rate ranging from 1.02% to 1.62%. Sale D78 exhibits recreational values on the pasture and reflects the highest cap rate herein. Recreational influences can skew this approach to value, and minor changes in cap rates can have a significant affect on value. The remaining six sales represent a melded cap rate of 1.18% which was used herein to estimate the final value of the subject property based on the Income Approach. This resulted in a total land value of $5,132,000. This approach is considered the least reliable approach to value and was given the least consideration in the final analysis of value.

Total Deeded Acres: 10,777.89

Gross Income:	$ 83,559	= $ 7.75	/	Acre
Expenses:	($ 22,996)	= $ 2.13	/	Acre
Net Income:	$ 60,563	= $ 5.62	/	Acre

Net Income / Cap Rate	=	Indicated Value
$ 60,563 / 1.1800 %	= $	5,132,458

Income Approach Indication = $ 5,132,000

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Reconciliation and Opinion of Value

Summary

Cost Approach	$	5,152,000
Income Approach	$	5,132,000
Sales Comparison Approach	$	5,227,000

Discussion & Correlation of Values

Analysis of Each Approach and Opinion of Value: The primary approaches to value that were used in the analysis of value of the subject property were the Cost Approach and the Sales Comparison Approach. The Income Approach was given the lease consideration in valuation. The Cost Approach is based on the premise that the informed purchaser will pay no more for a property than the cost of construction of an equally desirable substitute with equal utility, less applicable depreciation. The land value within the Cost Approach has been estimated by comparison of the ten comparable sales herein, which are considered to provide reliable comparisons in various degrees. The contributory value of the improvements is approximately 10% of the overall value. Construction costs and depreciation of the buildings were derived from Marshall Swift Building Cost Guide. Physical deterioration, functional obsolescence and external obsolescence were established by the appraiser's general knowledge and by limited market support.

The Sales Comparison Approach herein analyzes comparable sales of similar-type properties. These sales require various adjustments as mentioned in the correlation of comparable sales. No paired sales could be selected for adjustments made, yet relationships for adjustments shown are supported to a lesser degree.

The Income Approach is the conversion of economic benefits into value and is based primarily on the property's productive capacity, requiring measurement of the property's income stream. We have placed less emphasis on this approach in determining an estimate of value for the subject property as it has less relevance to value in the current subject market which is seeing influence from recreationalists and hobby ranchers.

In summary, based primarily on the Sales Comparison Approach and the Cost Approach, a final value of $5,200,000 has been concluded for the ***REDACTED*** Ranch property as of January 22, 2015.

Allocation of Value

Opinion Of Value - *(Estimated Marketing Time* 12 *months, see attached)* **$** 5,200,000

Cost of Repairs $ _____

Cost of Additions $ _____

Allocation: *(Total Deeded Units:* 10,777.89 *)*

Land:	$ 4,686,234	$ 435	/ Acre	(90	%)
Land Improvements:	$	$	/ Acre	(0	%)
Structural Improvement Contribution:	$ 513,766	$ 48	/	(10	%)

Value Estimate of Non-Realty Items:

Value of Personal Property *(local market basis)*	$				
Value of Other Non-Realty Interests:	$				
Non-Realty Items:	$	$ 0	/	(0	%)
Leased Fee Value *(Remaining Term of Encumbrance)*	$	$	/	(0	%)
Leasehold Value	$	$	/	(0	%)
Overall Value	$ 5,200,000	$ 482	/ Acre	(**100**	%)

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